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What is the Margin System?

The Margin System is a financial mechanism in which the buyer (client) pays only a small portion of the total value of the asset they wish to purchase. This portion is referred to as the **margin**. The remaining balance is then provided by an intermediary — whether a bank or another licensed financial institution — in the form of a loan.

Under this arrangement, the purchased contracts or assets remain held by the intermediary as collateral, securing the outstanding loan amount until the client fulfills their full financial obligation.

KEY TERMS

Margin	The initial deposit paid by the client — a fraction of the full asset value.
Intermediary	A bank or broker that provides the remaining balance on behalf of the client.
Collateral	The purchased assets held by the intermediary to secure the outstanding loan.